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Japan: Nippon Credit Bank Capital Injection, 1997¹

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Yale Program on Financial Stability Case Study

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Abstract

In 1997, Japan experienced a financial crisis caused by the bursting of a bubble in commercial real estate prices. By March, Nippon Credit Bank (NCB), the smallest of Japan's three long-term credit banks, required government assistance due to its heavy exposure to commercial real estate and large amount of nonperforming loans. On April 1, the Bank of Japan (BoJ) announced the government's intention to recapitalize NCB as part of a restructuring package. To facilitate the injection, Japan's Ministry of Finance (MoF) engineered a consortium of large existing shareholders in NCB (mainly insurance companies) and the other two Japanese long-term credit banks. NCB, with the support of the MoF, asked consortium members to convert roughly 140 billion Japanese yen (JPY; USD 1.2 billion) in outstanding subordinated loans to NCB into preferred and common shares and purchase roughly JPY 70 billion in newly issued common shares. The BoJ agreed to purchase an additional JPY 80 billion in newly issued preferred shares in NCB via the primary account of New Financial Stabilization Fund (NFSF), funded and managed by the BoJ. In July 1997, the BoJ and private-sector consortium injected a total of JPY 291 billion into NCB. After the Financial Supervisory Agency conducted an audit which found the bank to be insolvent as of March 31, 1998, the prime minister placed NCB under temporary nationalization on December 13, 1998. The Stock Price Evaluation Committee, established by the Financial Reconstruction Commission, evaluated NCB shares as worthless, effectively wiping out the preferred shares held by the BoJ and the preferred and common shares held by consortium members. Upon direction by the prime minister, the Deposit Insurance Corporation of Japan (DICJ) assumed all of NCB's liabilities and purchased all shares in the bank, wiping out the full value of the preferred and common shares that the private-sector consortium and BoJ had acquired in 1997. The government later sold NCB to a separate consortium led by SoftBank Corporation in September 2000. NCB was reprivatized as Aozora Bank in January 2001.

Keywords: Asian Financial Crisis, Bank of Japan, capital injection, Nippon Credit Bank, nonperforming loans, recapitalization

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc capital injections. A survey of all the cases in this series (Rhee, Hoffner, et al. 2024) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/>. Rhee, Oguri, et al. (2022) surveys broad-based capital injection programs.

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Overview

This case study describes the July 1997 capital injection to Nippon Credit Bank (NCB) by the Bank of Japan (BoJ) and a consortium of private banks and insurance companies organized by Japan's Ministry of Finance (MoF). This ad hoc capital injection was a part of a restructuring package for NCB; for details of the 1998 restructuring, see Heaphy (forthcoming).

At the onset of Japan's financial crisis in 1997, NCB was an internationally active bank with roughly 15 trillion Japanese yen (JPY; USD 130 billion) in total consolidated assets.³ As one of three Japanese long-term credit banks, NCB was heavily exposed to the bubble in Japanese commercial real estate and held nonperforming loans (NPLs) officially reported at JPY 1.3 trillion as of March 1997. The *Japan Times* later reported that NCB president and chairman Hiroshi Kubota offered that the bank be liquidated at a meeting with BoJ and MoF officials sometime between January and February 1997, but MoF officials rejected this option. On March 21, 1997, Moody's Investors Service lowered NCB's senior debt rating from Baa3 to Ba1 or below investment grade, citing the bank's "substantial unrealized losses" and "weak capitalization" (Aozora 2002; Japan Times 1999b; Moody's 1997; Nakaso 2001; Pollack 1997).

On April 1, 1997, the BoJ announced that the Japanese financial authorities had created a restructuring package for NCB in consultation with the bank itself. The restructuring package stipulated NCB's withdrawal from overseas operations, the disposal of the bank's NPLs, and the resolution of three of NCB's nonbank

Key Terms

Purpose: Strengthen the capital base of NCB and restore solvency of the bank through an injection of both private and public funds

Announcement Date April 1, 1997

Operational Date June 30, 1997

Date of Final Capital Injection March 30, 1998

End Date December 17, 1998

Legal Authority Article 25 of the Bank of Japan Law

Source of Funding Private sector financial institutions (banks, insurance companies), Bank of Japan

Administrators Bank of Japan, Ministry of Finance

Size JPY 290.6 billion, JPY 210.6 billion from private-sector consortium and JPY 80 billion from BoJ through NFSF

Capital Characteristics Common and preferred equity

Bail-in Terms The JPY 290.6 billion capital injection included roughly JPY 140 billion of subordinated debt held by insurance firms that was converted 1:1 into equity; creditors to three NCB-affiliated nonbanks took losses totaling JPY 2.2 trillion

(continued)

³ According to FRED, USD 1 = JPY 114.93 on July 1, 1997.

affiliates (see Key Design Decision No. 7, Treatment of Creditors and Equity Holders). The restructuring package also included a provision to recapitalize NCB by “roughly [JPY] 300 billion” using both public and private funding sources (BoJ 1997; Japan Times 1997c).

To facilitate the injection, the MoF engineered a consortium of NCB’s large existing stakeholders (mainly insurance companies) and Japan’s two other long-term credit banks. NCB succeeded in raising roughly JPY 167 billion in new

capital through issuing new common shares, with JPY 70 billion coming from private banks and the rest from insurance companies. In the following month, NCB raised an additional JPY 124 billion by issuing new preferred shares, with JPY 80 billion coming from the BoJ through funds from the primary account of the New Financial Stabilization Fund (NFSF) and the remaining JPY 44 billion bought by existing NCB stakeholders. On March 30, 1998, NCB received an additional JPY 60 billion from the government during the first round of broad-based capital injections under the Financial Functions Stabilization Act (BoJ 1997; Japan Times 1997e; Japan Times 1997m; Nakashima and Souma 2011; Nakaso 2001).

An audit by the Financial Supervisory Agency (FSA), an independent agency that assumed the supervisory powers of the MoF following financial system reforms in February 1998, found NCB to be insolvent as of March 31, 1998. On December 13, 1998, NCB was temporarily nationalized by the prime minister pursuant to the Law Concerning Emergency Measures for the Revitalization of the Functions of the Financial System (hereafter, the Financial Reconstruction Law). The Stock Price Evaluation Committee, established under the new Financial Reconstruction Commission (FRC), evaluated NCB shares as worthless. This evaluation wiped out all equity held by the BoJ and the preferred and common equity held by consortium members (BoJ 1998; MoF n.d.; Nakaso 2001; Obuchi 1998).

Under the Financial Reconstruction Law, the Deposit Insurance Corporation of Japan (DICJ) acquired all shares of NCB upon nationalization. During NCB’s temporary nationalization, the bank transferred bad assets with a total book value of JPY 3.3 trillion to the Resolution and Collection Corporation (RCC), a collection arm of the DICJ, for JPY 381 billion. Following the transfer of assets to the RCC, NCB received JPY 3.2 trillion in “special financial assistance” from the FRC under the Financial Reconstruction Law. The FRC provided NCB with JPY 3.0 trillion in government bonds, with the remainder of the bank’s capital deficit (JPY 200 billion) funded by insurance premiums paid by private-sector banks to the DICJ (Aozora 2002, 32; BoJ 1998; DICJ 2001; Japan Times 2000a).

The government sold NCB to a separate consortium led by SoftBank Corporation in September 2000. The consortium agreed to invest JPY 100 billion in NCB to restore the bank’s capital base and purchase all outstanding common shares in NCB from the DICJ for

Outcomes	BoJ and consortium members took losses proportional to size of shareholding in NCB following the bank’s nationalization; BoJ lost JPY 80 billion in funds from the NFSF and the government lost JPY 60 billion from the broad-based injection to NCB
Notable Features	Private participation in the recapitalization; BoJ had to inject funds through the NFSF owing to a lack of other mechanisms

JPY 1 billion. In October 2000, NCB received further recapitalization from the FRC under the Financial Functions Stabilization Act. The FRC injected JPY 260 billion in taxpayer funds, purchasing convertible noncumulative preferred stock in NCB. NCB's name was changed to Aozora Bank in January 2001 (Aozora 2001; Aozora 2002; Japan Times 2000b; Montgomery and Shimizutani 2005; SoftBank 2000).

Figure 1: Timeline for the Recapitalization of NCB

Date	Event
March 21, 1997	Moody's downgrades NCB's senior debt to Ba1 or below investment grade.
April 1, 1997	The governor of the BoJ makes a statement announcing the restructuring of NCB, which details a plan by the authorities to recapitalize the bank by roughly JPY 300 billion. Three NCB-affiliated nonbanks (Crown Leasing, Nippon Total Finance Inc., and Nippon Assurance Financial Services Co.) with assets totaling JPY 2.2 trillion file for bankruptcy.
April 5, 1997	Japan Times reports that NCB would forgo dividend payments on common shares for an unspecified amount of time.
April 10, 1997	NCB and Bankers Trust announce a partnership in which the large US bank would help NCB dispose of its international businesses and potentially offer new services to Japanese customers.
April 16, 1997	Senior Bankers Trust official testifies that the bank had "no plan to become a large shareholder of NCB" at a Diet hearing.
June 30, 1997	NCB issues roughly 766 billion new common shares, priced at JPY 218 per share, raising JPY 167 billion in new capital for NCB from private banks and insurance companies in a transaction facilitated by the MoF.
July 1997	NCB raises roughly JPY 124 billion through issuing new preferred shares. BoJ purchases JPY 80 billion of the total using public funds from the primary account of the NFSF.
July 31, 1997	NCB announces that Hiroshi Kubota would step down as president but remain as chairman.
August 19, 1997	Former Executive Vice President Shigeoki Togo replaces Kubota as president of NCB.
September 30, 1997	NCB and Bankers Trust finalize an agreement in which both banks purchase a symbolic number of the other bank's shares. Bankers Trust also acquires a call option to buy an additional JPY 15 billion in shares after 3 years.
March 30, 1998	NCB receives an additional JPY 60 billion from the government during the first round of broad-based capital injections under the Financial Functions Stabilization Act.
November 1998	An audit of NCB by the FSA finds that the bank's liabilities exceeded its assets as of March 31, 1998.

December 13, 1998	The prime minister temporarily nationalizes NCB pursuant to Article 36 of the Financial Reconstruction Law. Upon nationalization, DICJ acquires all shares of NCB, wiping out all existing shareholders including the consortium organized by the MoF.
December 21, 1998	The government taps Takuya Fujii, a former BoJ official, to head NCB.
January 12, 1999	Following NCB's nationalization, Moody's raises ratings on NCB's long-term deposits from Baa3 to Baa2, long-term senior debt from Ba1 to Baa3, and short-term deposit from Prime-3 to Prime-2.
July 1999	Former NCB executives, including Kubota and Togo, are arrested and charged with violating the Securities and Exchange Law.
November 21, 1999	Following an assessment of NCB's balance sheet by the FRC, the bank transfers bad assets with a book value of JPY 2.9 trillion to the RCC for a price of JPY 299 billion.
August 28, 2000	Second transfer of bad assets with a book value of JPY 462 billion to the RCC for a price of JPY 82.4 billion.
August 31, 2000	NCB receives JPY 3.2 trillion from the DICJ in the form of government bonds, classified as "special financial assistance."
September 2000	The government sells NCB to a separate consortium of private financial institutions with SoftBank Corporation becoming the majority shareholder.
January 2001	The bank's name changes from NCB to Aozora Bank, Ltd.
August 30, 2011	Former NCB executives are acquitted of violating the Securities and Exchange Law on retrial by the Tokyo High Court.

Source: Author's analysis.

Summary Evaluation

Government officials and economists criticized the 1997 capital injection to NCB on the grounds that (1) the size of the injection was too small to rectify solvency issues with the bank, and (2) the extent of NCB's NPLs went underreported by both NCB and the MoF.

In a 2001 retrospective account of the intervention, the chief manager of the Financial System Division at BoJ, Hiroshi Nakaso, argues that the capital injection was insufficient in size considering the extent of NCB's NPLs. Nakaso says that the government had underestimated the amount of NPLs on NCB's balance sheet, and the 1997 injection would have been "considerably larger" had the BoJ deemed an injection "the only option at the time" (Nakaso 2001, 25).

Two International Monetary Fund (IMF) economists, Akihiro Kanaya and David Woo, note that Japan's relatively lax classification rules for NPLs hampered regulators' ability to recognize the extent of banks' problem loans. Nakaso adds that weak and fast-changing disclosure requirements undermined the credibility of figures for NPLs disclosed by

distressed banks like NCB. A *Japan Times* article reported that the MoF had “condoned” NCB’s underreporting of NPLs to private-sector financial institutions who participated in the capital injection (Japan Times 1999b). In August 1999, 16 legislators filed a complaint against senior officials at the MoF for their handling of the capital injection to NCB, with one member of Japan’s House of Representatives saying the MoF “gathered the money in a forcible way and must be urged to accept criminal responsibility” (Japan Times 1999c; Kanaya and Woo 2000; Nakaso 2001).

Nakaso also cites the lack of an institutional framework for injecting capital into weak banks as an obstacle to recapitalizing NCB. Per Nakaso, the DICJ’s funding was too small to provide sufficient capital to large, distressed banks like NCB as of 1997. The BoJ was authorized to act as a lender of last resort and provide risk capital to financial institutions under Article 25 of the Bank of Japan Law; however, these operations were costly and required “almost tailor-made” resolution packages for each failing financial institution (Nakaso 2001, 25). According to the *Los Angeles Times*, an analyst at Merrill Lynch Japan Inc. called this method of intervention opted for by the Japanese authorities “better than nothing, but extremely slow” (Holley 1997). In an effort to rectify this regulatory gap, the Diet passed new legislation in February 1998, which allocated JPY 13 trillion toward broad-based capital injections and created the Financial Crisis Management Committee (FCMC) to administer these injections (Montgomery and Shimizutani 2005; Nakaso 2001; Unnava 2021).

Context: Japan, Nippon Credit Bank, 1997–1998	
Assets	JPY 15.2 trillion as of March 31, 1997 JPY 13.6 trillion as of March 31, 1998
Liabilities	JPY 12.2 trillion as of March 31, 1998*
Deposits	JPY 2.1 trillion as of March 31, 1997 JPY 1.8 trillion as of March 31, 1998
Capital Ratio	2.99% as of March 31, 1997 (BIS International Standard) 8.25% as of March 31, 1998 (Domestic Standard)
Nonperforming Loans	JPY 1.3 trillion as of March 1997 JPY 3.7 trillion as of December 1998
Market Share	Not disclosed
Banking System, % of GDP	205% as of 1997 216.2% as of 1998
* Liabilities as of March 31, 1997, are not disclosed <i>Sources: NCB 2000; Bloomberg; World Bank Global Financial Development Database; World Bank Deposit Insurance Dataset.</i>	

Key Design Decisions

- 1. Purpose: Japanese authorities judged NCB as a systemically important bank. Consequently, the BoJ and the MoF facilitated an injection of new capital to NCB to enable the bank to dispose of a large amount of NPLs.**

On April 1, 1997, the Governor of BoJ released a statement saying that Japanese financial authorities had created a restructuring package for NCB in consultation with the bank. The BoJ's initial statement deemed NCB as a systemically important bank by virtue of its "size and range in domestic and overseas financial markets." As a result, the Governor argued promptly that aiding NCB was essential for "domestic and international market stability" (BoJ 1997).

To enable NCB to dispose of JPY 460 billion in NPLs for the previous fiscal year, the restructuring package included a provision to recapitalize the bank by roughly JPY 300 billion. In the preceding months, the financial health of NCB waned due to the bank's large quantity of NPLs, leading to downgrading by rating agencies, declining share prices, and difficulties raising funds through the sale of debentures (Moody's 1997; Japan Times 1997a; Japan Times 1997b).

During a meeting with BoJ and MoF officials in early 1997, NCB's president offered to liquidate the bank; however, Japanese officials rejected this option due to concerns of systemic risk. Instead, the government opted for a joint private and public sector bailout. The MoF officially asked large shareholders in NCB—mainly insurance companies and large city banks—and the other two Japanese long-term credit banks to participate in the recapitalization of NCB as members of a consortium. Following a request from the government, the BoJ also agreed to use funds from the NFSF to purchase preferred shares in NCB in the event that NCB could not raise sufficient capital from the private sector (BoJ 1997; Japan Times 1997c; Japan Times 1999b; Nakaso 2001).

- 2. Part of a Package: The capital injection was announced as part of a restructuring package for NCB. The BoJ continued to provide liquidity support to NCB in the form of a debenture guarantee.**

On April 1, 1997, the BoJ announced the capital injection to NCB as part of a broader restructuring package created in consultation with the MoF and the bank itself. The restructuring package included three provisions:

- The bank's withdrawal from overseas business and a reduction of domestic personnel and salaries (see Key Design Decision, No. 11, Restructuring);
- The comprehensive disposal of NPLS and resolution of three nonbank affiliates (see Key Design Decision, No. 7, Treatment of Creditors and Equity Holders);
- The eventual capital infusion from the BoJ and the consortium (BoJ 1997).

On April 10, 1997, NCB announced a partnership with Bankers Trust New York Corp., one of the largest US bank holding companies with a growing global investment banking business, in which Bankers Trust would help NCB exit its international businesses and potentially offer new services to Japanese customers. In response to the announcement, NCB's stock rose 13 percent in a single day. The agreement was limited to a small, "symbolic" cross-shareholding arrangement between both banks (Sapsford and Steiner 1997). Per *Reuters*, the BoJ said the tie-up between NCB and Bankers Trust would "contribute greatly to a smooth implementation of NCB's restructuring plan" (Reuters News 1997). However, a senior Bankers Trust official told the press that the Japanese financial authorities had offered "encouragement but no incentives" for Bankers Trust to cooperate with NCB (AP-Dow Jones 1997). In September 1997, Bankers Trust said it had acquired a call option to buy JPY 15 billion in NCB shares after three years at a predetermined rate (Japan Times 1997i; Japan Times 1997o).

On March 30, 1998, NCB received an additional JPY 60 billion from the government during the first round of broad-based capital injections under the Financial Functions Stabilization Act (Nakashima and Souma 2011; Nakaso 2001). (For more information of the broad-based capital injections under the Financial Functions Stabilization Act, see Unnava [2021].)

3. Legal Authority: Owing to the lack of a legal framework for capital injections, the BoJ provided capital to NCB through the NFSF, a special fund established pursuant to Article 25 of the Bank of Japan Law. The MoF also exerted informal advisory authority over private financial institutions.

There was no new legislation passed to facilitate the capital injection to NCB. Although by 1997 the BoJ had "realized the need . . . for an institutional framework" to provide capital to failing institutions, the Financial Functions Stabilization Act—enabling public funds to be used for broad-based capital injections—was not passed by the Diet until February 1998 (Nakaso 2001, 8).

As Japan lacked a formal legal framework for injecting capital to failing financial institutions, the BoJ was forced to use funds from the NFSF, a special fund established six months earlier during Japan's housing loan corporation (*jusen*) crisis, to provide capital to NCB. The primary account of the NFSF, entirely funded by the BoJ, was established pursuant to Article 25 of the Bank of Japan Law which gave the BoJ the power to "conduct business necessary to maintain an orderly financial system (Diet 1998, sec. 38).⁴ At the request of the MoF, the BoJ authorized JPY 80 billion in central bank funds be transferred to the primary account of the NFSF to be used to purchase new shares in NCB (Haggerty 2022; Itoh et al. 2020; Nakaso 2001).

The Banking Law gave the MoF supervisory authority over financial institutions, including the power to request information to determine the capital adequacy of the bank. In June

⁴ In April 1998, revisions to the Bank of Japan Law took effect. Under the updated version of the law, Article 38 replaced Article 25 as the legal basis for the BoJ's lender of last resort function.

1998, the financial supervisory functions of the MoF were transferred to the newly-created FSA (Japan Times 1997k; Nakaso 2001; Diet 1981; Yanagisawa 2001).

4. Administration: The BoJ administered the injection of public funds from the NFSF through their role as the fund's "special member." The MoF engineered the private-sector consortium.

The NFSF was established in September 1996 as part of the resolution of the 1995–96 Japanese housing loan corporation crisis. Initially, the fund consisted of two accounts, a primary account financed by the BoJ and a secondary account financed by private financial institutions who contributed to the fund. Both accounts were invested primarily in government bonds and yielded returns to taxpayers (Itoh et al. 2020; Nakaso 2001).

The BoJ administered the injection of JPY 80 billion in public funds from the NFSF to NCB through its role as the fund's "special member." The BoJ was the sole financier of the primary account and acted as a manager for the entire fund. The primary account of the NFSF was used to provide capital to financial institutions as per the fund's objective of "enhancing the stability of Japan's financial system" (Itoh et al. 2020, 105). Following a request from the government, the BoJ contributed JPY 80 billion to the primary account of the NFSF to be used to purchase new preferred shares in NCB to supplement the private-sector contributions (Itoh et al. 2020; Nakaso 2001).

As a monetary authority, the MoF exerted considerable "unofficial" authority and guidance over financial institutions, including ensuring private-sector participation in bailouts (Kazuo 2012, 175).⁵ The MoF engineered the private-sector consortium, assisting NCB in securing voluntary capital subscriptions from large existing shareholders and the other long-term credit banks. On April 3, 1997, a member of the Japanese House of Representatives said that the MoF had "gathered executives from banks, insurance companies and other financial institutions in the Banking Director General's office" to request their support for the capital injection (Nakaso 2001; Diet 1997).

⁵ The MoF had organized a similar private-sector bail out of two urban credit cooperatives, Tokyo Kyowa and Anzen, which failed in December 1994. The two institutions were merged to create the Tokyo Kyoudou Bank (TKB) to which the DICJ provided capital and the MoF secured the participation of private financial institutions in providing TKB with low-interest loans (Nakaso 2001).

5. Governance: In the weeks following the announcement of NCB's temporarily nationalization, the DICJ selected new directors and auditors for the bank, based on nominations from the FRC.

Following NCB's temporarily nationalization, the DICJ selected six new directors and three new auditors for NCB, based on nominations from the FRC on December 25, 1998. On May 24, 1999, the FRC completed an assessment of NCB's assets, finding roughly JPY 4 trillion in "unsuitable assets" (DICJ 1999, 7). When the Stock Price Evaluation Commission valued NCB's shares as worthless in June 1999, their evaluation found that NCB's liabilities exceeded its assets by JPY 3.1 trillion (DICJ 1999).

6. Communication and Disclosure: The BoJ and the MoF both made statements in support of NCB's restructuring package, emphasizing that saving NCB was necessary to ensure the stability of the Japanese financial system. Officials also supported the agreement between NCB and Bankers Trust.

Before the capital injection, the minister of finance made statements to reassure the public that the Japanese financial authorities would support NCB. Per *Japan Times*, the minister said at a news conference on February 5, 1997, that the collapse of NCB would be "absolutely impossible" (Japan Times 1997a). On the day that the BoJ announced the restructuring package for NCB, head officials at the BoJ and MoF both made public statements in support of NCB. In his official statement, the governor of BoJ said the capital injection and restructuring of NCB was necessary for "maintaining the overall stability of the Japanese financial system" and that "Bank of Japan will extend necessary support with the Ministry of Finance" to ensure NCB's recovery (BoJ 1997).

The BoJ emphasized that NCB played an active role in the construction and implementation of the restructuring package. In the initial statement by the BoJ, the governor said that NCB "will exercise maximum efforts in implementing its own restructuring plan" by pursuing new capital subscriptions from private-sector financial institutions (BoJ 1997). Moreover, the governor argued the restructuring of NCB was important as it represented voluntary action taken by a bank in preparation for the "Japanese Big Bang" financial reforms (BoJ 1997).

On April 11, 1997, a member of the Japanese House of Representatives said that the finance minister had issued a statement outlining the MoF's request that consortium members convert subordinated debt to new shares in NCB and that the BoJ provide funds through the NFSF. We could not find the original statement from the MoF regarding the capital injection to NCB (Diet 1997).

In his initial announcement of the restructuring package for NCB, the governor of BoJ also said the central bank would continue to provide "the necessary support" in the event of a temporary liquidity shortage (BoJ 1997). Per *Japan Times*, the BoJ also agreed to provide loans, likely at the official discount rate of 0.5 percent, to redeem NCB's debentures if necessary. BoJ officials worried that NCB might face difficulties raising funds via the sale of new debentures due to market concerns about the health of the bank. We did not discover whether this liquidity support was used by NCB. Communications between the MoF, NCB

and private financial institutions about the capital injection to NCB were not publicly disclosed (Japan Times 1997k).

The BoJ also encouraged and publicized the partnership between NCB and Bankers Trust both to quell market concerns over the health of NCB and as evidence of Japan's financial liberalization. On the day of the announcement, NCB's stock went up by 13 percent. Per *Reuters*, the BoJ said the tie-up between NCB and Bankers Trust would "contribute greatly to a smooth implementation of NCB's restructuring plan" (Reuters News 1997). However, following widespread media speculation of a buyout, a senior official at Bankers Trust testified that the bank had "no plan to become a large shareholder of NCB" at a Diet hearing on April 16, 1997 (AP-Dow Jones 1997; Japan Times 1997j; Sapsford and Steiner 1997).

7. Treatment of Creditors and Equity Holders: Many of NCB's large existing shareholders converted subordinated loans into equity in NCB. NCB shareholders, including the BoJ, lost their entire investment following the nationalization of the bank in December 1998.

NCB's restructuring package included the resolution of three nonbank leasing and financial services firms affiliated with NCB. On the same day as the package was announced, all three nonbanks, with liabilities totaling JPY 2.2 trillion per Teikoku Data Bank, filed for bankruptcy. Breaking from conventional practice, NCB did not assume the liabilities of the three nonbanks. Instead, creditors to the three banks, which included large agricultural cooperatives, were forced to shoulder losses in proportion to their loans. Per *Japan Times*, NCB's decision caused reputational damage to the bank, with officials at other Japanese banks expressing "outrage" at the lack of prior consultation and calling the move "an act of bad faith" (Japan Times 1997d). The chairman of the Japanese Federation of Bankers association said this decision was necessitated by the ailing condition of NCB and would not become the norm (Japan Times 1997j; Japan Times 1997f; Japan Times 1997c; Sugawara 1997).

During negotiations prior to the injection, NCB and the MoF asked 21 life and nonlife insurance agencies to convert a total of roughly JPY 140 billion in subordinated loans to NCB into common (JPY 97 billion) and preferred (43.7 billion) shares in the bank. The Japanese subsidiary of Standard and Poor's warned that this request could be considered a "default" by NCB (Japan Times 1997h). Some insurance companies were also reluctant to agree to these terms; For example, Nippon Life Insurance Co. refused to convert its subordinated loans but agreed to purchase JPY 28 billion in new shares in NCB, becoming NCB's largest shareholder after the injection. After certain insurance firms negotiated alternate terms under which to inject capital, NCB succeeded in raising roughly JPY 167 billion in new capital through issuing new common shares, with JPY 70 billion coming from private banks and the rest from insurance companies (Nakaso 2001; Japan Times 1997g; Japan Times 1997l).

Later, following the nationalization of NCB in December 1998, the Stock Price Evaluation Committee established under the FRC, evaluated NCB shares as worthless. This evaluation wiped out a total of roughly JPY 467 billion in shareholder equity, including the JPY 80 billion in preferred shares held by the BoJ and the JPY 210.6 billion in preferred and common shares

held by consortium members. Under the Financial Reconstruction Law, the DICJ acquired all shares of NCB upon nationalization, effectively bailing-in the bank's previous shareholders (Aozora 2002; BoJ 1998; Nakaso 2001).

8. Capital Characteristics: The private sector consortium organized by the MoF converted subordinated loans to common and preferred equity and purchased new preferred and common equity shares. The BoJ, through the primary account of the NFSF, purchased preferred equity shares.

The two long-term credit banks, Industrial Bank of Japan and Long-Term Credit Bank of Japan, along with other banks with large shareholdings in NCB, agreed to purchase newly issued common shares. Most insurance companies in the consortium agreed to convert perpetual subordinated loans to NCB to common shares and term-specified subordinated loans to preferred shares. The BoJ also pledged to purchase preferred shares using funds via the NFSF (BoJ 1997; Japan Times 1997e; Nakaso 2001).

On June 30, 1997, NCB issued 766 million new common shares, priced at JPY 218 per share, to be bought by members of the consortium. This common share issue raised roughly JPY 167 billion in new capital for NCB, JPY 70 billion from private banks and JPY 97 billion from life and non-life insurance companies (Japan Times 1997m).

In the following month, NCB issued 386 million new third preferred shares, priced at JPY 320 per share. This preferred share issue raised roughly JPY 124 billion in new capital for NCB. Following a request from the government, the BoJ provided JPY 80 billion in public funds to the primary account of the NFSF to purchase new third preferred shares of NCB. Insurance companies purchased the remaining JPY 44 billion in newly issued third preferred stock (Aozora 2002; Itoh et al. 2020; Japan Times 1997g; Japan Times 1997m; Nakaso 2001).

As of March 1999, NCB had also set limitations on the dividends paid by these shares: Under the bank's articles of incorporation, stockholders could not receive higher annual dividends per share than JPY 13.75 for second preferred shares, JPY 3.20 for third preferred shares and JPY 15.0 for fourth preferred shares (NCB 2000).

9. Size and Source of Funding: The MoF and the BoJ engineered a capital injection totaling JPY 290.6 billion to NCB, JPY 80 billion from BoJ through the primary account of the NFSF and JPY 210.6 billion from Japanese financial institutions.

Following NCB's initial announcement, the MoF organized a consortium of private-sector financial institutions to fund the capital injection to NCB. The consortium consisted of NCB's existing shareholders—mainly insurance companies and large city banks—along with the two other Japanese long-term credit banks, as these institutions had a vested interest in the health of NCB.⁶ With the support of the MoF, NCB asked private banks to subscribe to JPY 70 billion in new common shares and insurance agencies to convert roughly JPY 140 billion in subordinated loans to NCB into common and preferred equity (Japan Times 1997g; Japan Times 1997c; Nakaso 2001).

Per Nakaso, by 1997 BoJ had “realized the need for the creation of an institutional framework” to inject capital; however, BoJ decided to use NFSF funds for an ad hoc injection due to the “imminent” nature of the crisis (Nakaso 2001, 8). At the end of July 1997, NCB received an injection totaling JPY 290.6 billion in new capital, JPY 80 billion coming from BoJ through the primary account of the NFSF funded by BoJ and JPY 210.6 billion coming from private-sector financial institutions (Nakaso 2001).

10. Timing: The capital injection to NCB occurred in July 1997, three months after the BoJ's initial statement.

The injection of JPY 290.6 billion in new capital to NCB occurred from June to July 1997, three months after the BoJ's initial statement. This delay was due to NCB's need to secure the cooperation of private financial institutions, some of whom were hesitant to support the injection (Japan Times 1997k; Nakaso 2001).

Seven months after the capital injection to NCB, the Japanese legislature approved a series of broad-based capital injections under the Financial Functions Stabilization Act in February 1998, through which NCB received an additional JPY 60 billion (Unnava 2021).

11. Restructuring: The restructuring package for NCB announced by BoJ included three provisions—the bank's withdrawal from overseas business and a reduction of domestic personnel and salaries, the disposal of NPLs and resolution of three nonbank affiliates, and the eventual capital infusion.

The capital injection to NCB was part of a larger restructuring package, with the provision of capital from private financial institutions and BoJ contingent on the “comprehensive restructuring” of the bank (BoJ 1997).

⁶ By selecting only financial institutions with a vested interest in the health of NCB, the Japanese authorities opted for a notably different approach from the government's response to TKB. In the latter case, the authorities requested voluntary contributions from nearly all Japanese financial institutions (the *hougachou* approach) (Nakaso 2001).

BoJ's initial announcement listed several concrete restructuring measures, including the bank's "withdrawal from overseas operations and . . . a major reduction in personnel and salaries" (BoJ 1997). Per *Japan Times*, NCB's president and chairman, Hiroshi Kubota, said the bank would lay off roughly 900 employees and reduce employee wages by 10 to 30 percent. Per the *Los Angeles Times*, NCB also planned to sell off assets, including the bank's Tokyo headquarters, to aid in financing the disposal of NPLs (Holley 1997; Japan Times 1997c).

Another provision of NCB's restructuring plan was the resolution of three nonbank affiliates of NCB. These nonbanks allowed NCB to access other types of business, mainly leasing and lending to customers who would otherwise fail to qualify for loans and experienced serious financial trouble resulting from the bursting of the bubble in commercial real estate prices in early 1997. For more information on resolution of NCB's nonbank affiliates, see Key Design Decision No. 7, Treatment of Creditors and Equity Holders (Sugawara 1997).

12. Treatment of Board and Management: NCB's board was reduced in size and several senior executives changed roles. Following the nationalization of NCB, former senior executives were arrested and charged with violating the Securities and Exchange Law, although they were later acquitted.

While announcing NCB's restructuring, Kubota said that he would consider stepping down as president and intended to "return all of his salary" for the past year. The restructuring package also reduced the size of NCB's board and cut executive salaries by 50 percent (Japan Times 1997c).

On July 31, 1997, after the capital injection, the bank announced that Kubota would step down as president but remain as chairman to oversee "external affairs" (Japan Times 1997n). The former executive vice president, Shigeoki Togo, replaced Kubota as president on August 19, 1997. Togo resigned following NCB's nationalization in December 1998 (Far Eastern Economic Review 1998).

In July 1999, six former NCB executives were arrested following a complaint by the new state-appointed management alleging prior management had violated the Securities and Exchange Law. Kubota, Togo, and former vice president Tadao Iwak were found guilty of concealing JPY 160 billion in bad loans in figures provided in the bank's March 1998 earnings statement to investors. Upon retrial in August 2011, the Tokyo High Court acquitted all three. Although NCB, along with many other Japanese banks, had failed to follow the MoF's new guidelines to assess NPLs during the 1997 fiscal year, the Court found that the bank's self-assessment complied with the MoF's old requirements and that 1997 was a "transitional year" between the two sets of guidelines (Japan Times 1999a; 2011; Sapsford 1999).

13. Other Conditions: Aside from the conditions of the restructuring package, we did not find any additional restrictions imposed on NCB as part of the injection.

Aside from the conditions of the restructuring package, we did not find any additional restrictions imposed on NCB as part of the injection.

14. Regulatory Relief: We did not discover any additional regulatory relief by the authorities to NCB.

We did not discover any additional regulatory relief by the authorities to NCB.

15. Exit Strategy: We did not find an exit strategy or predetermined end date for the capital injection to NCB.

We did not find an exit strategy or predetermined end date for the capital injection to NCB. Following NCB's temporary nationalization, the Stock Price Evaluation Committee evaluated NCB shares as worthless, effectively wiping out the preferred equity held by the BoJ and the preferred and common equity held by consortium members. Under the Financial Reconstruction Law, the DICJ temporarily acquired all shares of NCB upon nationalization (BoJ 1998; Nakaso 2001).

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